

FINANCING AND ACCOUNTING FOR BUSINESS OPERATIONS

Every decision we've discussed this semester — expanding abroad, choosing a structure, hiring people, making a product — comes down to one question: how does the business pay for it, and how does it know if it's working? Today, the money side.

WHAT YOU'RE GETTING FOR YOUR 50 MINUTES

- 15.1** Describe how financial managers fulfill their responsibilities.
- 15.2** Describe how small businesses finance short-term needs.
- 15.3** Explain debt and equity financing.
- 15.4** Describe accounting standards and the accounting equation.
- 15.5** Describe major financial statements.

Gold-outlined boxes are in-class activities — that's your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

Financial management. Planning and controlling a company's finances so it has the money it needs, when it needs it.

Chapter 12 got the product in front of the customer. Chapter 15 closes the loop: tracking, and paying for, everything that happens along the way.

OBJECTIVE 15.1

The financial manager’s job

Someone has to make sure the business has cash when it needs it — not just profit on paper.

Financial management. Planning and controlling a company’s finances.

YOUR OWN EXAMPLE

Key tools

Tap each to see what it’s for.

01 Financial plan

A roadmap for how the company will fund its operations and goals.

EX. _____

02 Budget

A detailed estimate of income and expenses over a set period.

EX. _____

03 Cash flow budget

A projection of cash coming in and going out — critical for making sure bills get paid on time.

EX. _____

04 Capital budget

A plan for spending on long-term assets like equipment or facilities.

EX. _____

NOTES · 15.1 THE FINANCIAL MANAGER’S JOB

OBJECTIVE 15.2

Funding the short term

Small businesses often need cash fast, long before a bank loan would ever come through.

Where small businesses turn first

01 Personal savings

The founder’s own money — the most common source, and the riskiest personally.

EX. _____

02 Credit cards

Fast access to cash, but often at a high interest rate.

EX. _____

03 Peer-to-peer lending

Borrowing directly from individual investors through an online platform.

EX. _____

04 Crowdfunding

Raising small amounts from many people, often in exchange for early access or rewards.

EX. _____

05 Lines of credit

A flexible loan a business can draw from as needed, up to a limit.

EX. _____

06 Microloans

Small loans, often from nonprofit lenders, aimed at businesses too small for a traditional bank loan.

EX. _____

IN-CLASS DISCUSSION

If you were starting a small business tomorrow, which short-term financing option would you use first, and why?

NOTES · 15.2 FUNDING THE SHORT TERM

OBJECTIVE 15.3

Debt vs. equity: two ways to raise money

Beyond short-term needs, a growing business usually raises money one of two fundamental ways.

Debt financing. Borrowed money that must be repaid, usually with interest — the lender has no ownership stake.

YOUR OWN EXAMPLE

Equity financing. Raising money by selling ownership shares in the company — investors share in the risk and the upside, but the founder gives up some control.

YOUR OWN EXAMPLE

Common methods

- Loans
- Bonds
- Stock sales
- Venture capital

NOTES · 15.3 DEBT VS. EQUITY: TWO WAYS TO RAISE MONEY

OBJECTIVE 15.4

The language of accounting

Accounting is how a business tells its own story in numbers — and everyone needs to be reading from the same rulebook.

Accounting. Recording, summarizing, and reporting a company's financial information.

YOUR OWN EXAMPLE

Four types of accounting

Tap each to see who uses it.

01 Managerial accounting

Financial information prepared for internal use by managers making day-to-day decisions.

EX.

02 Financial accounting

Financial information prepared for external users — investors, lenders, regulators.

EX.

03 Auditing

Independently verifying that financial statements are accurate and comply with standards.

EX.

04 Tax accounting

Preparing financial information specifically for tax filing and compliance.

EX.

THE ACCOUNTING EQUATION

Assets = Liabilities + Owners' Equity. Everything a company owns (assets) was paid for either by borrowing (liabilities) or by the owners' own investment (equity) — the equation always has to balance.

NOTES · 15.4 THE LANGUAGE OF ACCOUNTING

OBJECTIVE 15.5

Reading the three core statements

Three documents, together, tell you almost everything about a company’s financial health.

Balance sheet. A snapshot of what the company owns (assets), owes (liabilities), and is worth to its owners (equity) at one point in time.

YOUR OWN EXAMPLE

Income statement. A summary of revenue, expenses, and profit over a period of time.

YOUR OWN EXAMPLE

Statement of cash flows. A summary of cash moving through operating, investing, and financing activities over a period of time.

YOUR OWN EXAMPLE

Statement	What it answers
Balance sheet	What do we own and owe right now?
Income statement	Did we make money over this period?
Statement of cash flows	Where did our actual cash come from and go?

DISCUSSION QUESTION

If you could only see one of the three financial statements before investing in a company, which would you pick and why?

NOTES · 15.5 READING THE THREE CORE STATEMENTS

SPECIAL FOCUS

Debt vs. equity financing

When a company needs to raise real money, it almost always comes down to this choice — and the two paths trade off very differently.

	Debt financing	Equity financing
Ownership	Stays with founder	Shared with investors
Repayment	Required, on schedule	Not required
Risk if business struggles	Still must repay lenders	Investors share the loss

DISCUSSION QUESTION

If you were raising money for your own business, would you rather take on debt or give up equity? Why?

NOTES · DEBT VS. EQUITY FINANCING

CHAPTER 15 · WRAP-UP

Closing the books

Define each term in your own words. If you can do all of them without looking, you're ready for the quiz.

DEFINE THESE IN YOUR OWN WORDS

- | | | |
|------------------------|---------------------------|------------------------|
| • Financial management | • Cash flow budget | • Capital budget |
| • Debt financing | • Equity financing | • Venture capital |
| • Accounting | • Managerial accounting | • Financial accounting |
| • Auditing | • Accounting equation | • Balance sheet |
| • Income statement | • Statement of cash flows | |

ACTIVITY MINUTE · BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your one biggest “aha” moment from today.

Looking back at the whole semester, which chapter changed how you think about business the most?

TOTAL — 50 MIN · PAID IN FULL

This chapter closes the loop we opened back in Chapter 4: every strategic decision a business makes — where to compete, how to organize, what to build, who to hire, how to market — eventually has to be paid for, and accounted for. That's the whole business, start to finish.